EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo" along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth-class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well-known tourist destination where every Iguigueños can live peacefully and prosperously.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Iguig, Cagayan for the year 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Iguig, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	611,632,075.77	545,278,084.29	66,353,991.48
Liabilities	176,563,622.26	239,052,597.41	(62,488,975.15)
Government Equity	435,068,453.51	306,225,486.88	128,842,966.63
Financial Performance			
Income	169,835,059.80	191,523,568.15	(21,688,508.35)
Expenses	164,694,325.87	174,605,742.38	(9,911,416.51)
Net Income	5,140,733.93	16,917,825.77	(11,777,091.84)

D. Operational Highlights

The Municipality of Iguig is headed by the Municipal Mayor, Honorable Ferdinand B. Trinidad, and ably supported by the Vice-Mayor and Presiding Officer of the Sangguniang Bayan, Honorable Juditas L. Trinidad, and includes various officers and employees, as follows:

Particulars	No. of Personnel Complement
Permanent Employees	120
Elected	12
Coterminous	1

Programs, Projects and Activities completed in CY 2023

For CY 2023, the LGU has substantially implemented 34 out of the 36 planned programs /projects/activities of 20% Development Fund or 94 percent; thus, attained the desirable socio-economic development outcomes of the Municipality.

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Iguig for the year-ended December 31, 2023, due to: (1) unreconciled difference of ₱140,394,357.51 between the Financial Statement and Report on Physical Count of Property, Plant and Equipment; and (2) unrecorded accounts payable totaling to ₱6,197,069.81.

F. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Iguig, are as follows:

1. **Appropriation under the 20% Development Fund includes a lumpsum or generic term of projects totaling to ₱11.828million without specific/itemized details, contrary to Article 454(d) of the Implementing Rules and Regulations (IRR) of Local Government Code of 1991 (RA No. 7160).**

   We recommended that the Management:

   a. through the Municipal Development Council, as much as practicable, specify the details of the priority projects to be charged under the 20% Development Fund, including project location, specific implementation schedule, and physical target pursuant to Article 454(d) of the IRR of RA No. 7160; and

b. in the event that specific/itemized details of the project could not be identified during the budget preparation, seek the approval of the Sanggunian before the implementation of a specific project.

2. **There are unreconciled differences of ₱1.168million, ₱1.345million and ₱0.184million in the Cash in Bank accounts maintained in the ledgers of General Fund (GF), Special Education Fund (SEF) and Trust Fund (TF), respectively, or a total of ₱2.697 million, versus the bank statement balances as a result of the continued non-preparation of monthly Bank Reconciliation Statements by the Municipal Accountant which is inconsistent with the existing accounting rules and regulations prescribed under COA Circular No. 96-011 dated October 2, 1996 and Section 112 of Presidential Decree (PD) No. 1445. Accordingly, this affects the reliability, accuracy and fair presentation of the Cash in Bank accounts in the Financial Statements.**

   We recommended that the Management through the Municipal Accountant prepare the BRS, properly reconcile bank balances against general ledger balances and take up the necessary adjusting entries, when necessary, in order to present fairly the cash account in the financial statements of the LGU.

   We likewise recommended that Management require the Municipal Treasurer and Municipal Accountant to prepare the monthly reconciliation of the cashbook balances with the accounting records for timely adjustments of discrepancies or errors for accurate and fair presentation of the cash accounts.

3. **Payment for the cost of lot (10,000 square meters or 1 hectare) totaling ₱5million to be used for the Multi-purpose Building and Evacuation Center located at Manaoag, Iguig, Cagayan lacked the necessary supporting documents as prescribed under COA Circular No. 2012-001 dated June 14, 2012 and paragraph 6 Section 4 of Presidential Decree No. 1445; thereby, preventing the Audit Team to conduct proper review and evaluation of the transaction.**

   We recommended that Management, through the Municipal Accountant and other concerned officials, to secure and submit the necessary documents supporting the purchase of lot in accordance with Item 14.1 of COA Circular No. 2023-004 to enable the Audit Team to conduct proper review and evaluation of the disbursements to determine its validity, legality and propriety.

G. Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2023:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	10,000,000.00	-	-	10,000,000.00	
Current Year	-	-	-	-	
Total	**10,000,000.00**	-	-	**10,000,000.00**	
Disallowances					
Prior Years	3,236,525.00	-	-	3,236,525.00	
Current Year	-	-	-	-	
Total	**3,236,525.00**	-	-	**3,236,525.00**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

H. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

Implemented		9
Not Implemented	7	
Partially Implemented	3	10
Total		**19**